Trapped Seller / Trapped Buyer

Flow.42 Analytics — Interpretation Guide *Version: 2026-07-11 · Evidenced on two live cases, MNQ 09-26, 2026-07-10*

> **The core insight in two sentences:** An S/R level from **VolImbalance** tells you **that** a large participant stood there. An absorption diamond from **AbsorptionMap** tells you **whether he won or lost.**
> **The second, equally important insight:** Absorption tells you **where**, not **when**. It is a **context signal, not an entry trigger.**

1. Why this guide exists

An ASK cluster is red and means "resistance". A green absorption diamond means "bullish". When both appear **at the same price, in the same minute**, it looks like a contradiction — and the obvious reaction ("red line = short") is then **exactly wrong**.

They do not contradict each other. They describe **two halves of the same event**.

2. What the two indicators actually measure (code semantics)

VolImbalance — *where was the order?*

Type	Meaning	Color	Level
`AskImbalance`	bearish, ask side → selling dominance	Red	**Resistance**
`BidImbalance`	bullish, bid side → buying dominance	Green	**Support**

A *cluster* (`[5x] 649`) = several stacked imbalances of the same type — here 5, totalling **649 contracts**. The level is drawn **because size demonstrably traded there.**

AbsorptionMap — *did that order work?*

Marker	Code	Meaning	Context
🟢 Green diamond	`AskAbsorbedColor = LimeGreen`	*"selling absorbed"* — aggressive **selling** was soaked up	**bullish**
🔴 Orange/red diamond	`BidAbsorbedColor = OrangeRed`	*"buying absorbed"* — aggressive **buying** was soaked up	**bearish**

The diamond appears **only** when the aggressive side *failed*: volume was pushed through — and price still did not move. Large ringed diamonds = strong/confirmed absorption; small pale ones = provisional candidates.

3. The core insight

A level exists **because** a seller (or buyer) stood there. A diamond exists **because** that very participant **failed**.

When both sit on top of each other:

> **The seller is real — but he is being eaten.**

The level is then not a place to fade. It is a **target that will break.**

4. The four constellations (2×2 matrix)

VolImbalance cluster	AbsorptionMap diamond	Reading	Consequence
ASK (resistance, red)	🟢 green — *selling absorbed*	**TRAPPED SELLER**	Level breaks **up**. Do **not** short. The break is the long trigger.

VolImbalance cluster	AbsorptionMap diamond	Reading	Consequence
ASK (resistance, red)	🔴 red — *buying absorbed*	Resistance **confirmed**	Buyers failed against the seller → level **holds**. Fading is valid.
BID (support, green)	🔴 red — *buying absorbed*	**TRAPPED BUYER**	Level breaks **down**. Do **not** go long. The break is the short trigger.
BID (support, green)	🟢 green — *selling absorbed*	Support **confirmed**	Sellers failed against the buyer → level **holds**. Longing is valid.

Rule of thumb: - **Same color** for cluster and diamond (red+red / green+green) → the level **holds**. - **Opposite color** (red cluster + green diamond, green cluster + red diamond) → the level is a **trap** and will break.

5. ⚠️ Absorption is context, not a trigger

This is the part that costs money if you have not internalised it.

The diamond says: *"the aggressive side failed HERE."* It does **not** say: *"the reversal starts NOW."*

Between the absorption and the resolution the market can **keep moving against you** — in Case B below by **18 points**, even though the absorption was correct and the later break was correct too. The seller **won the moment** and still **lost the round**.

Practical consequence:

The diamond	puts you **on alert**. Discard the fade idea. Note the direction.
The break of the level	is the **entry**. Only a close beyond `PriceMax + Deviation` confirms the trapped trade is working.

This is exactly why the **Deviation setting is not cosmetic — it is your trade trigger** (see chapter 10).

If you do enter on the diamond, size the stop to survive an adverse excursion on the order of Case B (≈18 MNQ points).

6. After the break: polarity flip

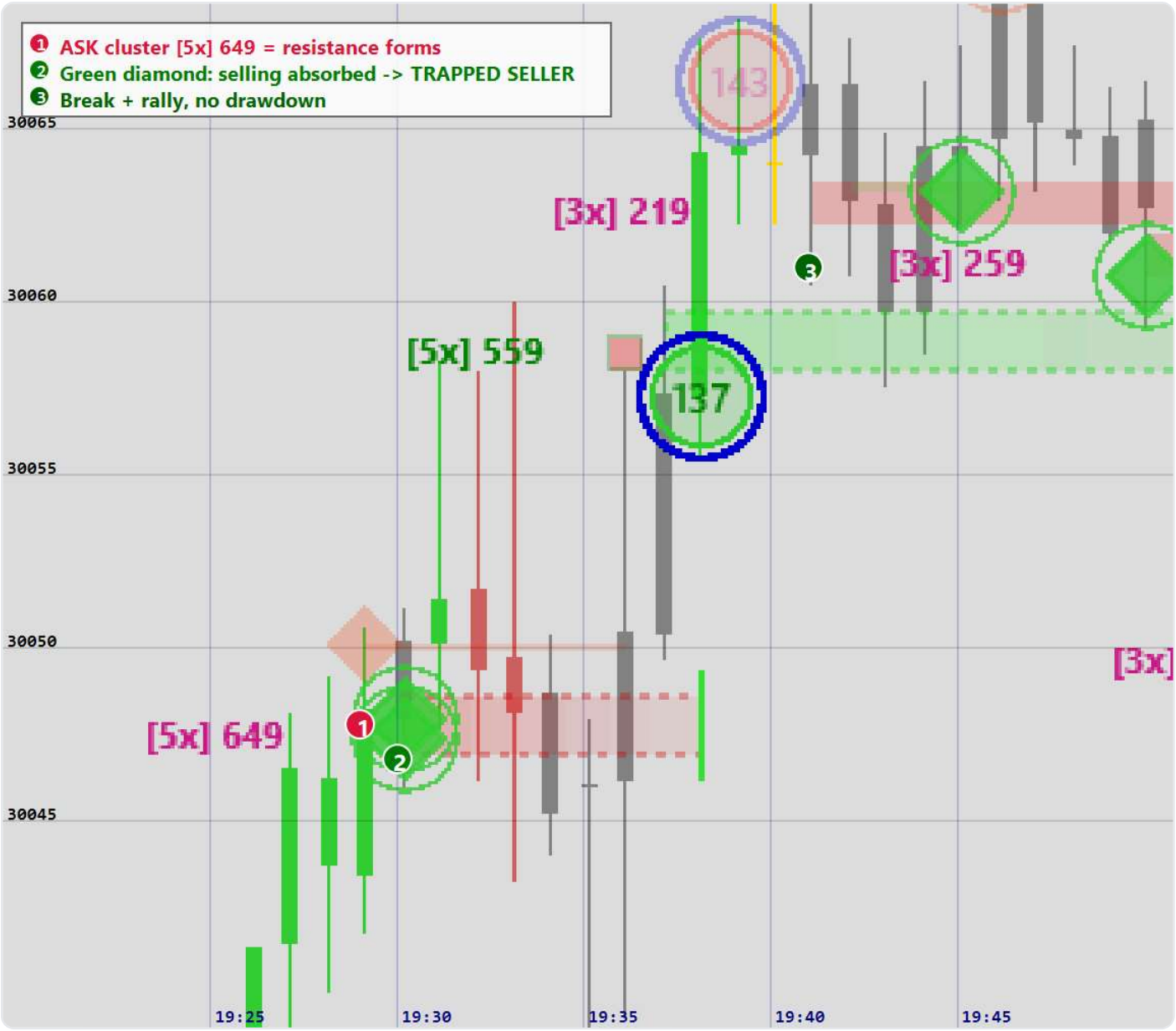
A broken trapped level **flips into the opposite role**:

- Broken resistance (trapped seller) → becomes **support**. The covering seller and the new longs defend it.
- Broken support (trapped buyer) → becomes **resistance**.

The retest from the other side is often the better entry than the break itself.

7. Case study A — the clean case (19:29 / 19:30)

MNQ 09-26, 2026-07-10



19:29 — ASK cluster `[5x] 649` at roughly **30046.9 – 30048.75**. Five stacked ask imbalances, **649 contracts**. A large seller, clearly visible. Resistance is drawn.

19:30 — 🟢 Large ringed green diamond, right inside the zone. *Selling absorbed.* The aggressive selling was soaked up by passive buyers. Price does **not** fall.

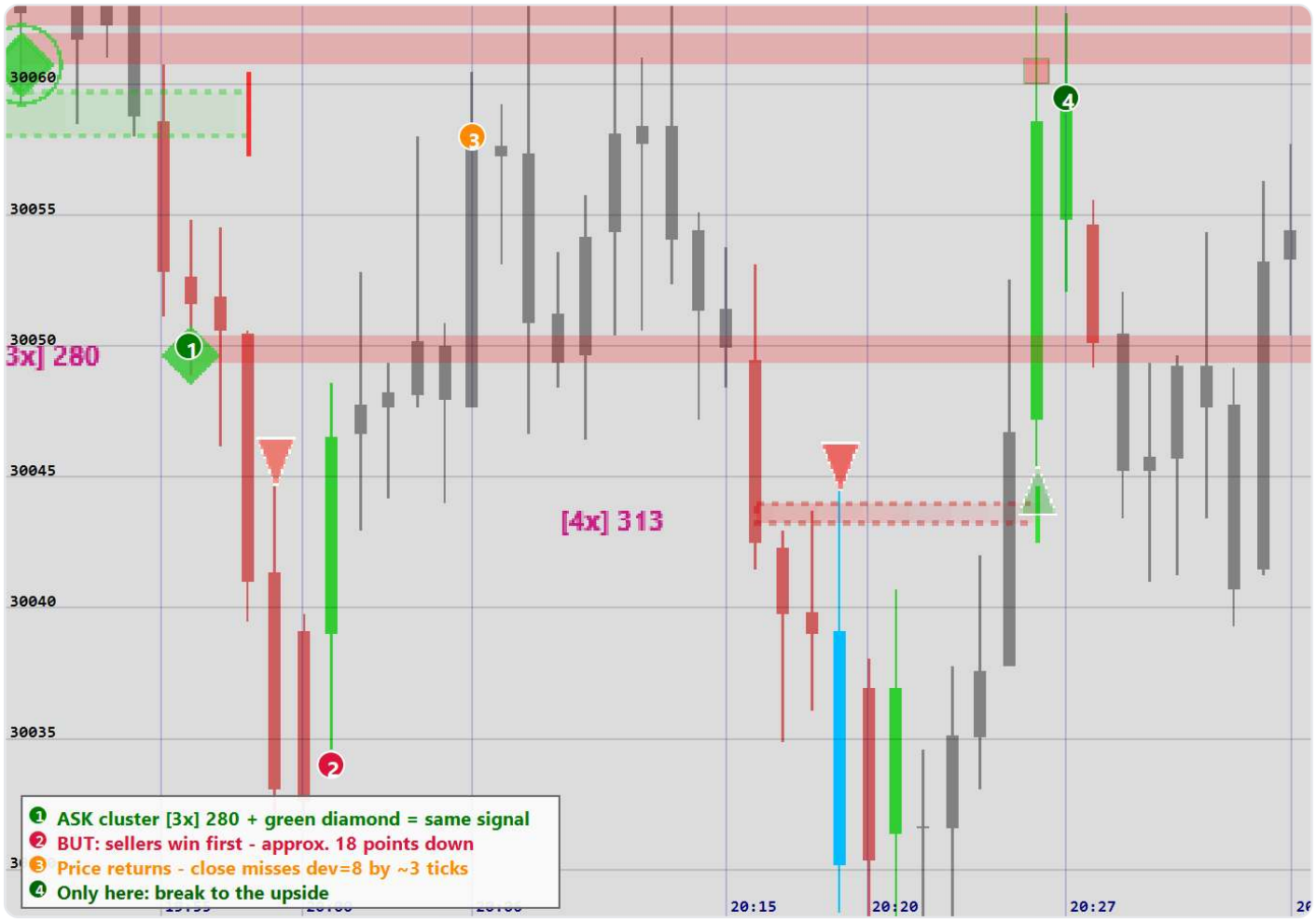
Reading: Trapped seller. The red line is a **target**, not a short.

Resolution: Price runs up **without a detour** — from ~30047 to **above 30065** by 19:42. No drawdown, no hesitation. The `[5x] 649` band is drawn dashed and truncated at the break point = **invalidated**.

> **This is the textbook form:** big trapped seller, immediate absorption, direct break.

8. Case study B — the honest case (19:56)

Same chart, 27 minutes later. Same signal — different path.



19:56 — ASK cluster `[3x] 280` at **30049.25 – 30050.75**, with a 🟢 **green diamond right on it**. At first glance **exactly the same constellation as Case A**.

But then: price first drops **~18 points** — from ~30049 to ~30031. **The sellers won the moment.** Anyone who went long on the diamond was underwater.

And only then: price returns, pushes above the zone from ~20:05 and finally breaks it with a green impulse. The level has held as support since.

> **This is the real-world form:** the signal was **right** — but not **immediately**. Absorption shifts the odds; it does not guarantee timing.

9. What separates Case A from Case B

Same pattern twice — two very different paths. Observable differences (indications, not law):

	Case A (19:29) — clean	Case B (19:56) — delayed
Trapped size	`[5x] 649` — 5 imbalances, **649 contracts**	`[3x] 280` — 3 imbalances, **280 contracts**
Position in the move	Price pushes **into the level from below**, advance under way	Price sits **at the day's high after an extended run**, first rollover
Outcome	Direct break, no drawdown	−18 points, then break

Rules of thumb: - **The larger the trapped seller, the more fuel** the squeeze has (he must cover). - **Absorption *into* an ongoing move** (Case A) resolves faster than **absorption against a rolling-over, extended move** (Case B). - A small cluster at the extreme of the day is the weaker setup — even when the signal colors look identical.

10. Confirmation stack

A trapped signal is strongest when the **auction context agrees**:

Tool	Trapped Seller (bullish)	Trapped Buyer (bearish)
VolImbalance	ASK cluster (resistance)	BID cluster (support)
AbsorptionMap	🟢 selling absorbed	🔴 buying absorbed
AuctionEngine	*Higher Value Acceptance*, *Continuation*, Loc: *Above prior value*	*Lower Value Acceptance*, *Continuation*, Loc: *Below prior value*
VolDelta	rising despite selling pressure	falling despite buying pressure

If all point the same way, the break is the likely resolution. If they conflict, it is a **context signal, not a trade**.

> **Note when reviewing:** the AuctionEngine panel always shows the **current live state**, not the state at the time of a historical bar. To judge the auction context of a past

> signal, set Auction Context to **Historical** — otherwise you read today's state into yesterday's setup.

11. Practical checklist

1. **Found a cluster?** Note the type (ASK = resistance, BID = support).
2. **Is there a diamond on it?** If not → ordinary S/R level, trade it classically (fade it).
3. **Diamond in the opposite color?** → **Trapped.** Discard the fade idea.
4. **How big is the trapped cluster?** `[5x] 649` ≫ `[3x] 280`. More trapped size = more fuel.
5. **Where is price in the move?** Absorption *into* an ongoing move beats absorption at an extended extreme.
6. **AuctionEngine disagrees?** → context only, no trade.
7. **Do not enter on the diamond — enter on the break.** The close beyond `PriceMax + Deviation` is the trigger.
8. **Watch the retest** from the other side as the better entry.

12. Common mistakes

- **"Red line = short."** Wrong the moment a green diamond sits on it.
- **Entering on the diamond instead of the break.** Case B costs you 18 points even though the signal was ultimately right.
- **Judging by wick instead of close.** A wick through the zone is *confirmation* that the level holds — not a break.
- **Leaving the deviation too wide.** You are waiting for the break — and the indicator reports it 21 minutes late, or not at all.
- **Trading a trapped signal without auction context.** Without backing it is an observation, not a setup.
- **Ignoring signal size.** `[3x] 280` and `[5x] 649` look the same but are not equally strong.

Code references: `Flow42VolImbalance.cs` → `ImbalanceType`, `AskImbalanceColor` / `BidImbalanceColor`, `ValidateClusterAbsorption` (break logic), `CalculateDeviationPrice`.

`Flow42AbsorptionMap.cs` → `BidAbsorbedColor` / `AskAbsorbedColor` (line 1023-1024), tooltip *"Bullish absorption / selling absorbed"* vs *"Bearish absorption / buying absorbed"*.

Figures: MNQ 09-26, 2026-07-10, 1-minute, calibrated from the live chart. Figure annotations are deliberately English so that both language versions share the same images.

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